

steady growth for many years to come. In a few of these companies, such as Motorola for example, they already are of more importance than the television operation. Meanwhile, certain new technical developments afford a possibility that in the early 1960's current model television sets will appear as awkward and obsolete as the original wall-type crank-operated hand telephones appear today.

One potential development, color television, has possibly been overdiscounted by the general public. Another is a direct result of transistor development and printed circuitry. It is a screen-type television with sets that would be little different in size and shape from the larger pictures we now have on our walls. The present bulky cabinet would be a thing of the past. Should such developments obtain mass commercial acceptance, a few of the technically most skillful of existing television companies might enjoy another major spurt in sales even larger and longer lasting than that which they experienced a few years ago. Such companies would find this spurt superimposed on a steadily growing industrial and military electronics business. They would then be enjoying the type of major sales growth which should be the first point to be considered by those desiring the most profitable type of investments.

I have mentioned this example not as something which is sure to happen, but rather as something which could easily happen. I do so because I believe that in regard to a company's future sales curve there is one point that should always be kept in mind. If a company's management is outstanding and the industry is one subject to technological change and development research, the shrewd investor should stay alert to the possibility that management might handle company affairs so as to produce in the future exactly the type of sales curve that is the first step to consider in choosing an outstanding investment.

Since I wrote these words in the original edition, it might be interesting to note, not what "is sure to happen" or "may happen," but what has happened in regard to Motorola. We are not yet in the early 1960's, the closest time to which I refer as affording a possibility of developing television models that will obsolete those of the 1950's. This has not happened nor is it likely to do so in the near future. But in the meanwhile let us see what an alert management has done to take advantage of technological change to develop